

KERING (KERFP)

The future is bright(er) — Upgrade to Market Weight

We upgrade our rating on KERFP to MW from UW reflecting our greater confidence in the stabilisation of the model following H1 26 results as well as progress towards reducing leverage. In this note we also downgrade the European High Grade Retailers sector from UW from MW.

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Good news comes in threes

Hitting the ground running. Kering's CEO, Luca De Meo, officially began his tenure on 15 September 2025 after having stated on 9 September 2025 (at Kering's AGM) that he was determined to make tough decisions to slash debt and cut costs at Kering without delay. De Meo has proven a man of his word, delivering on two key objectives within days:

1. **Reducing issuance risks...** The next day (10 September 2025), Kering and Mayhoola jointly postponed the latter's put option on its 70% stake in Valentino from 2026-27 to 2028-29, and Kering's call option was delayed from 2028 to 2029. We argue that the additional time to acquire Valentino reduces the financial pressure on Kering, thus allowing management to focus on debt reduction and the Gucci turnaround.
2. **...and debt levels:** On 19 October 2025, Kering [announced](#) the sale of Kering Beauté, whose predominant asset is the House of Creed (c.93% of Kering Beauté's assets according to [Barclays Equity Research estimates](#)). As expected, €4bn in cash was paid to Kering in H1 26 (included in the H1 26 accounts) after which L'Oreal is to pay royalties for the use of its licensed brands for a period of 50 years. With the deal, the companies are forming a 50/50 joint venture to explore opportunities in wellness and longevity.
3. **CMD targets appear more in sight as Gucci starts showing:** [Having](#) questioned some of the targets shared by Kering at its Capital Markets day (CMD) on 16 April, namely: 1) ambitions to more than double the EBIT margin from 11% (lowest level since 2010) and 2) to outperform the market while delivering 20% ROCE from capex of 5-6% of sales, given our cautious view on the Gucci turnaround (we thought the turnaround at Gucci accounting for 40% of group revenue in FY25 but producing just 57% of the revenue it generated in FY22 would require more than just an operational reset); we were positively surprised with H1 26 results. Key positives were: 1) the sequential improvement at Gucci (organic growth was down -2% y/y in Q2, beating Bloomberg consensus of -3.27% y/y) with Gucci leather good category back to growth in Q2 according to management, 2) the improvement in operating margin (at 12.8%, a +40bp y/y improvement and a 300bp improvement versus H2 25) and especially the improvement in Gucci operating margin

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(+100bp y/y in H1 26 at 17%) with new collections (at Gucci) bringing brand visibility and positive trends, supported by successful launches of the new Borsetto and Paparazzo lines; and 3) the overall return to growth in Q2 (for the group) with Saint Laurent returning to growth in H1 26. Our [equity](#) colleagues expect EBIT margin to double from FY25 levels to 22.2% by FY29, one year ahead of the target outlined at CMD. Their FY26 EBIT forecast increases 9%, reflecting the first-half beat and sequential margin improvement in the second half highlighted by management. They are now 3-14% above consensus on FY26E to FY28E EBIT.

As [suspected](#), Kering Jewelry outperformed versus expectations, with organic growth up 18% y/y in Q2 and +20% y/y in H1 26 while operating margin improved by 270bp y/y, to 6.2%.

Net debt reduction gains momentum: Beyond the improved momentum in sales and margins, FCF from operations (excluding real estate and Gucci Beauty agreement) was up c.€0.8bn y/y to €1.8bn and net debt was reduced from €8bn in FY25 to €3.3bn reflecting the improvement in operating cash flow but also proceeds from the Kering Beauty sale (€4bn) and real estate divestitures (€0.5bn). Net leverage (pre IFRS 16) is down 2x from FY25 at 1.4x. When asked about potential bond buybacks on the conference call, management pointed to the significant reduction in net debt achieved in H1 26 and said it sees scope for further reduction from cash flow generation. Having seen scope for potential debt buybacks given Kering's strong cash balance of c.€8.5bn, there was no specific reference to gross debt reduction or buybacks as such, though we think that the combination of net debt reduction and especially the improved momentum at Gucci (bearing in mind that Demna's first show presented in Milan was in February 2026) as well as the improved performance in the other Houses especially Saint Laurent and Bottega Veneta should support spreads. We upgrade our rating on Kering from Underweight to Market Weight reflecting our view that the business has now stabilised with further upside at Gucci. While we retain a preference for higher coupon notes, we also favour the longer-dated bonds (similar to [LVMH](#)). Potential catalysts include Q3 results (our equity colleagues forecast broadly flat group organic growth in Q3, followed by an acceleration to 2.7% in Q4, driven by 2.1% growth in FLG). We view Kering as solidly positioned within its BBB+ rating (at S&P); however, we would not rule out a potential positive rating action at S&P should 1) *"Kering maintains adjusted debt to EBITDA below 2.5x on a sustainable basis through positive organic growth, with some regains of market share lost in its key markets, coupled with a sustainable improvement in EBITDA and cash flow generation, 2) the company successfully executing its business plan and turnaround strategy of the Gucci brand,"* as per S&P potential upgrade criteria (from November 2025). We recommend six trades: three outright buy trades across the capital structure, two extension trades and a switch out of LVMH into Kering.

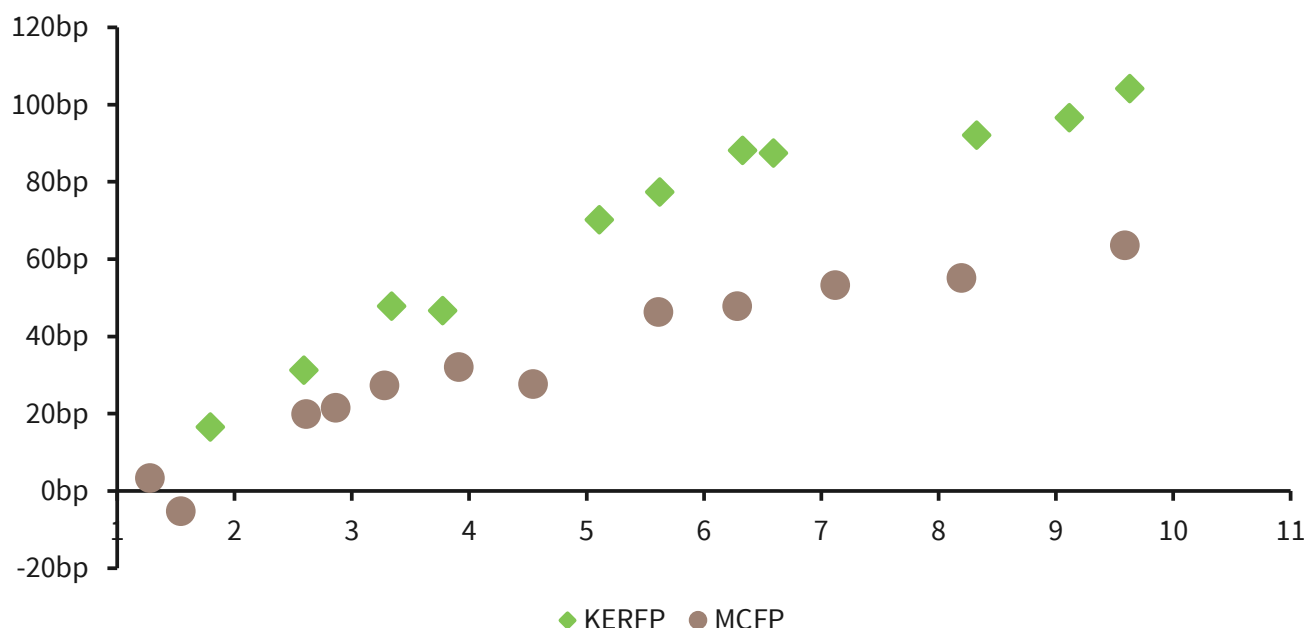
S&P in focus: BBB+/Stable

Kering is rated BBB+/Stable by S&P with its latest update on 7 November 2025, when the outlook was upgraded from Negative back to Stable. The change back to a Stable outlook in November 2025 followed the Beauté sale, predicated on deleveraging prospects and that the company's operating performance would gradually improve during 2026, driven by the execution of the turnaround strategy, the easier comparison base, and a better operating environment for the whole industry. Thanks to expected cash proceeds from asset disposal, S&P estimates that the company's S&P Global Ratings-adjusted debt to EBITDA will materially improve in FY26 from a forecast peak level of about 4.0-4.5x at year-end 2025 to about 3.0x in 2026. This compares with our previous expectation of leverage remaining above 3.5x until 2027. S&P said it could raise the rating on Kering if it shows a clear organic deleveraging trend with adjusted debt to EBITDA below 2.5x on a sustainable basis. This scenario could derive from a track record of positive organic growth, with some regaining of market share lost in its key markets, coupled with a sustainable improvement in EBITDA and cash flow generation. An upgrade would also depend on the company successfully executing its business plan and turnaround strategy of the Gucci brand.

Relative value

Since the CMD on 16 April, the Kering curve has tightened by 20-25bp across the 2027 and 2028 maturities, c.14bp across the 3.25% due 2029 and 6bp across the 3.125% due 2029. In contrast, the 2030s, 2032s and 2033s are slightly wider, while the longer-dated notes (2034 through 2036) are 5-8bp tighter.

FIGURE 1. KERFP EUR curve versus MCFP EUR curve (28 July 2026)



Source: Bloomberg, Barclays Research

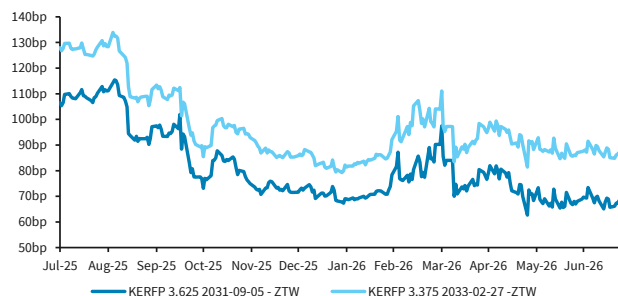
We have a preference for the higher-coupon notes given our expectation that expensive bonds could potentially be tendered and recommend **investors buy the KERFP £5.0% 2032s** (the notes are +10-11bp from the LTM tight), **the KERFP €3.875% 2035s and the KERFP €3.625% 2036s outright**. Although the company has not mentioned tenders specifically on the H1 26 conference call, we still think that given the higher cash balance, Kering could look to reduce its cost of debt through tenders.

Outside of potential tenders, we see better value in the longer-end of the curve with the 2031, 2032, 2033 and 2034 €-notes all trading on average c.5bp from the LTM tight (especially the 2033s). We see value in **switching out of KERFP €31s into KERFP €33s, switching out of the KERFP €32s into the KERFP €34s. We also recommend a switch out of MCFP €36s into KERFP €33s.**

We see value in switching out of KERFP €31s into KERFP €33s for a cash pickup of c.1.7 points in cash and a pickup c.18bp in z-spread versus an LTM average of c.15bp, having traded as tight as c.8-9bp apart as of the end of January 2026. Given our positive view on operating momentum, we are comfortable extending duration across the curve.

FIGURE 2. KERFP EUR31 versus KERFP EUR33 - Price

Source: Bloomberg, Barclays Research

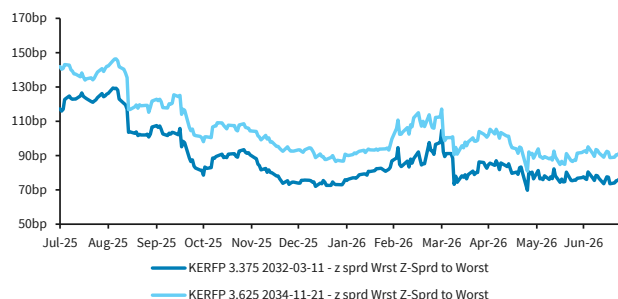
FIGURE 3. KERFP EUR31 versus KERFP EUR33 - ZTW

Source: Bloomberg, Barclays Research

We see value in switching out of the KERFP €32s into the KERFP €34s. Pick up c.0.5 point in cash and c.15bp in z-spread versus an LTM average of 12-13bp, having traded as tight as 9bp in early April 2026. Given our positive view on operating momentum, we are comfortable extending duration across the curve.

FIGURE 4. KERFP EUR 32 versus KERFP EUR34 - Price

Source: Bloomberg, Barclays Research

FIGURE 5. KERFP EUR32 versus KERFP EUR34 - ZTW

Source: Bloomberg, Barclays Research

We see value in switching out of the MCFP 36s into KERFP 33s for a similar cash price and a pickup of 24bp in z-spread versus an average of 26bp, having traded as tight as 16bp in early April and as wide as c.31bp, on 30 April, reducing duration by three years. Despite the rating differential, we view the balance of risk as to the upside on Kering, especially on potential positive rating action should it deliver on the Gucci turnaround.

FIGURE 6. MCFP EUR36 versus KERFP EUR33 - Price

Source: Bloomberg, Barclays Research

FIGURE 7. MCFP EUR36 versus KERFP EUR33 - ZTW

Source: Bloomberg, Barclays Research

The KERFP 5y CDS and Kering equity price have historically displayed a negatively correlated relationship. On its Q4 25 conference call (10 February 2026), management stated that it targets a range of 1.0-1.5x from current leverage (excluding leases), but gave no timeline. On the day after the results, the equity price rose c.11% (CAC 40 was up 0.1% on the same day) and the CDS

tightened 6bp while the cash bond structure closed the day unchanged. This is despite €123mn of the €4bn in proceeds from selling Kering Beaut  were allocated to equity holders in the form of a special dividend. While a credit positive statement, given the lack of timeline, we assume this takes into account a combination of the Beaut  proceeds along with the sale of real estate stakes and would therefore expect for that leverage target to apply to FY26. Based on S&P's method of calculating leverage, Kering's 1.0-1.5x target translates to around 2.5-3.0x, which is in line with the BBB+ rating band. In reaction to the Q1 26 results, the equity fell 9.3% intraday while the CDS was 5bp wider. The CMD took the share price a further 3.1% lower while the CDS was unchanged on 16 April 2026. In reaction to the Q2 26 results (28 July 2026), the equity rose 11% (CAC 40 was down 0.8% on the day) while CDS was -4bp tighter to an LTM low of 57.5bp mid. We view the 5y CDS as fairly priced at these levels.

FIGURE 8. KERFP (5y CDS)



Source: Bloomberg, Barclays Research

Operational performance

Q2 26

- Kering reported 2Q26 revenue of €3.7bn with organic growth at 2% y/y, beating the company-compiled consensus of +1.4% y/y. Fashion and Leather Goods (FLG accounting for c.81% of sales) organic growth was flat in the quarter (versus consensus of -0.6% y/y) while Gucci's organic revenue declined 2% y/y, a solid beat vs consensus ¹ of -4.7% y/y.
- We view Gucci's beat versus consensus very positively and note that by region, the beat was driven by North America (+6% y/y), up 6%, while other regions improved.
- As expected, Kering Jewelry grew strongly, with organic growth up 18%, beating consensus of +17.2% y/y, driven by strong double-digit growth in North America, Asia Pacific and Japan.
- Kering Eyewear reported organic growth of 8.0% y/y versus consensus of 6.1%, accelerating slightly from Q1, driven by expansion of brand portfolio.

¹ company compiled

- Focusing on regions, North America increased its contribution to 24% of group revenue in Q2, while Western Europe was stable at 30%. When asked about the Middle East, management said the rest of the world remained challenging, down 8% in Q2, mainly reflecting the instability in the Middle East, even as retail in the region improved sequentially, month after month, through the quarter. The Middle East typically accounts for around 5% of group retail revenue. Its negative effect on group revenue growth was -1% in Q2 26, in line with Q1, when the disruption affected only one month of the quarter.

H1 26

- Kering reported H126 revenue of €7.22bn with organic growth at 1% y/y. Fashion and Leather Goods (FLG accounting for c.80% of sales) organic revenue declined 1% y/y while Gucci's organic dropped 5% y/y.
- Kering Jewelry grew strongly, with organic growth up 20% .
- Kering Eyewear reported organic growth of 8.0% y/y.
- Group recurring income was up from €920mn in H1 25 to €921mn in H1 26. Importantly, operating income improved sequentially from H2 25 at €711mn, mostly driven by a reduction in operating expenses (-5% y/y).
- Group operating margin improved by +40bp y/y to 12.8%. Operating margin was up +300bp sequentially versus H2 25 (9.8%).
 - FLG operating margin improved by 70bp y/y to 13.6%.
 - Within FLG, Gucci's operating margin improved by 100bp y/y to 17%.
 - Kering Jewelry operating margin improved by 270bp y/y to 6.2%.
 - Kering eyewear operating margin improved by 290bp y/y to 23%.
- FCF from operations improved by €852mn y/y, to €2.324bn, mostly helped by an inflow from working capital of €602mn in H1 26 versus an outflow of -€26mn in the prior year.
- FCF from operations excluding real estate and Gucci beauty agreement improved from €1.083bn in H1 25 to €1.816bn.
- Net debt (pre IFRS 16) was reduced from €8bn in FY25 to €3.3bn in H1 26. Cash on balance sheet amounted to €8.5bn and we calculate net leverage at 1.4x (pre IFRS 16) versus 3.4x in FY25.

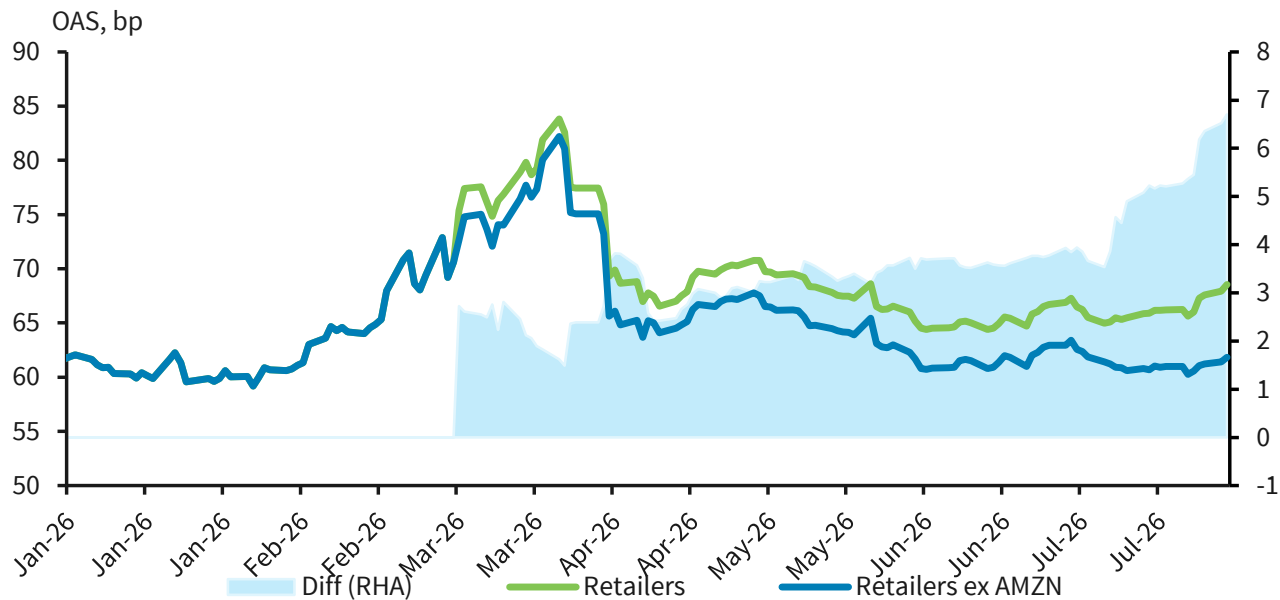
Retailers: Amazon tips the balance

Our [earlier upgrade of the Pan European High Grade Retailers sector](#) from Underweight to Market Weight was driven by two factors. First, we saw an improving outlook for KERFP, as we judged that the risk of a rating downgrade had been pushed further out. Second, AMZN's entry to the €-IG market in March 2026 changed the composition of the sector materially, with the issuer now accounting for 25% of the sector. At the time, we viewed this as an addition of a diversified, highly-rated credit that our fundamental analysts rated Market Weight.

The first part of that thesis continues to hold, reflected in our upgrade of KERFP to Market Weight. However, our analysts recently downgraded AMZN to Underweight with issuance headwinds on the horizon (see [The Hyperscaler Effect on Retail](#), 24 July 2026).

AMZN's influence on the sector is meaningful. Excluding AMZN, retailer spreads are little changed YTD, while the name currently adds almost 7bp to the aggregate spread (Figure 9). In addition, AMZN has increased the sector's average duration, leaving it longer than the broader index. While we are Market Weight on the next two largest constituents, KERFP (17%) and MCFP (21%), the deterioration in our AMZN outlook weakens a key pillar of our previous upgrade. Given the issuer's sizeable weight and influence on sector-level characteristics, we move Pan European High Grade Retailers from Market Weight to Underweight.

FIGURE 9. Retailers versus retailers ex AMZN



Source: Bloomberg, Barclays Research

Summary of Ratings

Bloomberg Pan-European Credit Index

	Old	New
European HG Retailers	Market Weight	Underweight
KERING SA	Underweight	Market Weight

Source: Barclays Research

Analyst(s) Certification(s):

We, Karine Elias and Melissa McCallum, CFA, hereby certify (1) that the views expressed in this research report accurately reflect our personal views about any or all of the subject securities or issuers referred to in this research report and (2) no part of our compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this research report.

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Primary Issuers/Bonds

KERING SA, Market Weight, CD/FA/J/K/N

Valuation Methodology: Having been cautious on the Gucci turnaround despite the progress achieved at reducing net debt and leverage through disposals, we see H1 26 results as demonstrating the stabilization of the business with creditable progress at Gucci - given the strong cash balance we continue to see debt reduction ultimately. We see better value in the longer-end of the curve and marrying our fundamental view with technical, we are Market Weight Kering.

Risks that May Impede Achievement of the Rating: Upside: Gucci outperforms with new director. Demand in China gains traction. Middle East conflict resolution leads to demand uptick. Allocation of Beaute proceeds to bond buybacks exceeds expectations. Further peripheral asset, potential positive rating action t S&P, disposals used for deleveraging.

Negative: deterioration in Q3 26 results, Gucci turnaround takes longer

Representative Bond: KERFP 3 1/4 02/27/29 (EUR 99.95, 28-Jul-2026)

Materially Mentioned Issuers/Bonds

KERING SA, Market Weight, CD/FA/J/K/N

KERFP 3 3/8 02/27/33 (EUR 96.99, 28-Jul-2026)

KERFP 3 3/8 03/11/32 (EUR 98.03, 28-Jul-2026)

KERFP 3 5/8 03/11/36 (EUR 95.77, 28-Jul-2026)

KERFP 3 5/8 09/05/31 (EUR 99.74, 28-Jul-2026)

KERFP 3 5/8 11/21/34 (EUR 97.41, 28-Jul-2026)

KERFP 3 7/8 09/05/35 (EUR 98.55, 28-Jul-2026)

KERFP 5 11/23/32 (GBP 97.31, 28-Jul-2026)

LVMH MOET HENNESSY LOUIS VUITTON SE, CD/FA/J/K/M/N

MCFP 3 3/8 02/25/36 (EUR 96.95, 28-Jul-2026)

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Overweight (OW): The analyst expects the six-month excess return of the issuer's index-eligible corporate debt securities to exceed the six-month expected excess return of the relevant sector.

Market Weight (MW): The analyst expects the six-month excess return of the issuer's index-eligible corporate debt securities to be in line with the six-month expected excess return of the relevant sector.

Underweight (UW): The analyst expects the six-month excess return of the issuer's index-eligible corporate debt securities to be less than the six-month expected excess return of the relevant sector.

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